

Canara Bank (CANBK)

Sector: Financials

ROE

16.7%

ROCE

3.1%

D/E

14.87x

OPM

41.8%

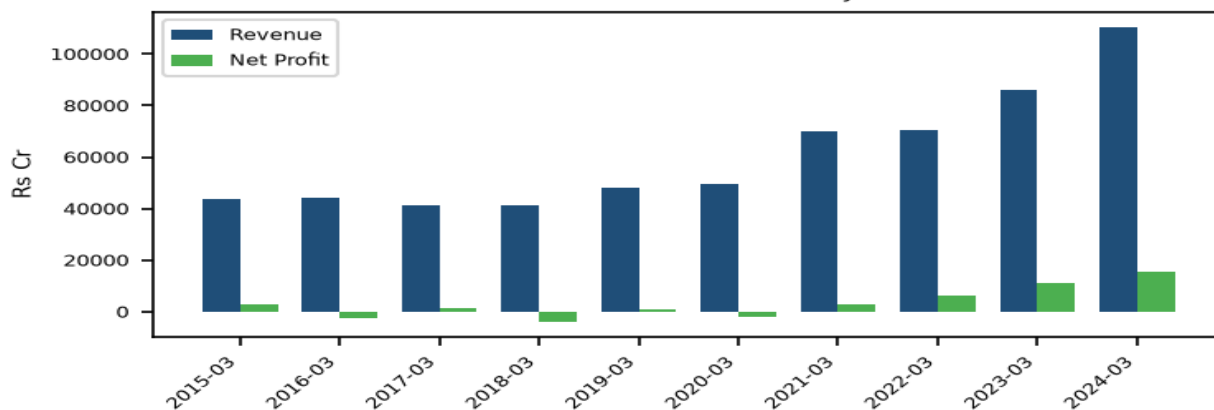
Revenue CAGR 5yr

18.2%

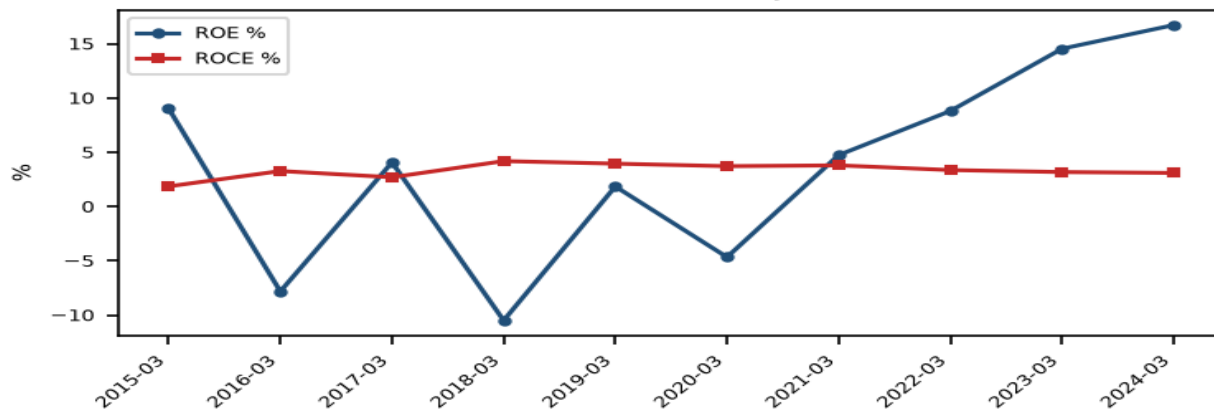
Free Cash Flow

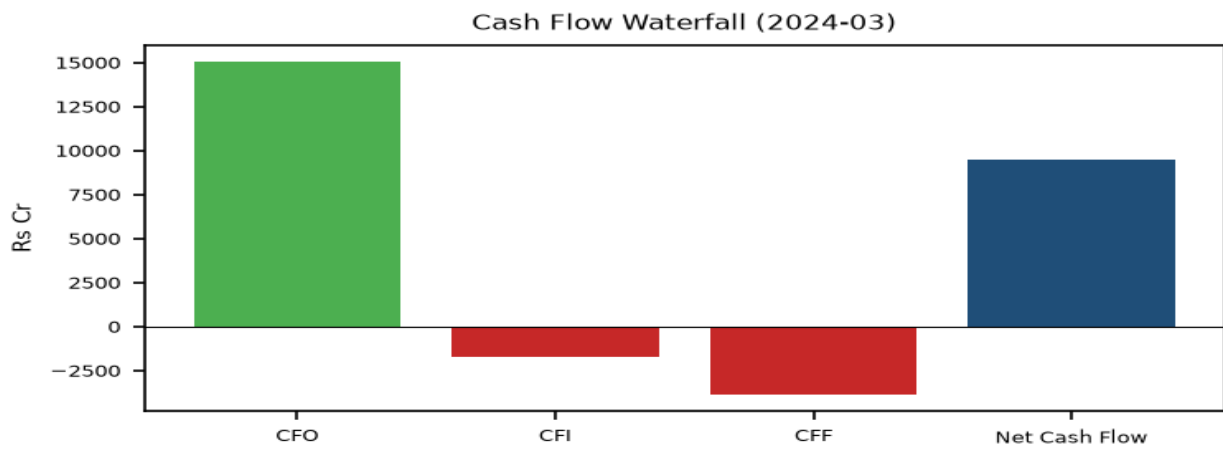
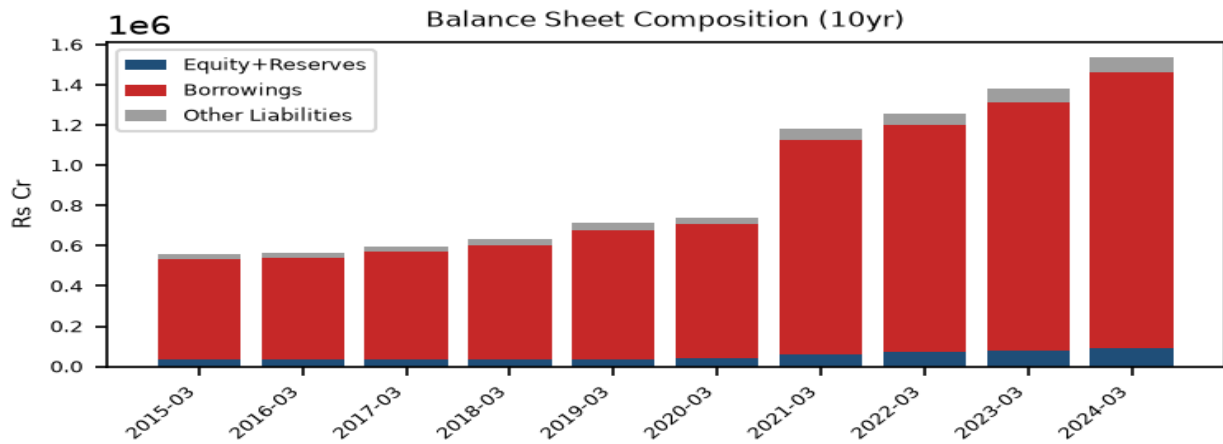
Rs 13,296 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Reinvestor